Direct Payments under CAP: Justification, Distribution and Reform



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01

Introduction



What Are Direct Payments?

Definition

Direct payments are income support transfers paid by the EU directly to farmers, independent of how much they produce. They form the cornerstone of the Common Agricultural Policy (CAP) and are managed under Pillar I.

~70% — **of total CAP budget**

Largest single budget item

Pillar I — **of the CAP**

Market & income measures

€37 bn+ — **paid annually**

To EU farmers (EU-27)

Sources: European Commission (2017); Gorton et al. (2009) cited in Harvey (2010)

The Birth of Direct Payments

BEFORE 1992

Price Support System
Swinbank, 1989



EU bought up surpluses

Trade-distorting & costly
Cunha & Swinbank, 2011



MacSHARRY REFORM

Price cuts (35% for cereals)
Swinbank, 1993

Direct payments introduced
Swinbank, 1993

GATT Uruguay Round pressure
Daugbjerg & Swinbank, 2009

AFTER 1992

Direct income payments

Decoupled from production
Swinbank, 1993

GATT Agreement signed
Daugbjerg & Swinbank, 2009



Ray Mcsharry

Sources: Swinbank (1989, 1993); Cunha & Swinbank (2011); Daugbjerg & Swinbank (2009)

02

The Evolution of Direct Payments – From Fischler to Today



2003 Fischler Reform – Decoupling

Before 2003
Payments linked to production
What & how much you produce = how much you get
Trade-distorting

After 2003
Single Farm Payment (SFP)
Based on historical reference (not current output)
Farmers respond to market signals

Source： European Commission. (2005). *The 2003 CAP reform: Meeting the challenges of the future.* European Economy, Special Report No. 2/2005 https://ec.europa.eu/economy_finance/publications/pages/publication630_en.pdf.

2013 Ciolos Reform

30%

Tied to "Greening" conditions

Not receiving full payment if non-compliant

3 Rules

1. Crop diversification
2. Maintain permanent grassland
3. Ecological Focus Areas (EFA)

Comments

1.DP = income support + environmental tool

2.First time DP linked to public goods

3.But: rules too complex, limited environmental impact

Source：European Parliament. (2014). *The CAP towards 2020: In-depth analysis of the 2013 reform.* IPOL_STU(2014)529067. https://www.europarl.europa.eu/RegData/etudes/STUD/2014/529067/IPOL_STU(2014)529067_EN.pdf

2021 Reform – Restructuring Direct Payments

01

BPS→BISS

Basic Payment Scheme

👇

Basic Income Support for Sustainability

02

Eco-schemes

25% of DP budget

Member States design their measures

Farmers get extra payment

03

Degressivity

Voluntary → Compulsory

Larger farms get reduced payments

Funds redistributed to smaller farms

04

Enhanced Conditionality

Greening absorbed into broader framework

Baseline environmental + welfare standards

Prerequisite for receiving ANY direct payment

Source：European Parliament, Policy Department for Structural and Cohesion Policies. (2023). *Comparative analysis of the CAP Strategic Plans and their effective contribution to the achievement of the EU objectives.* PE 747.255.：
https://www.europarl.europa.eu/RegData/etudes/STUD/2023/747255/IPOL_STU(2023)747255(SUM01)_EN.pdf

2023–2027 CAP – Redistribution & Eco-Schemes

Fairness & Redistribution

Degressivity: deductions on larger farms

Funds redirected → small farms + young farmers

Addresses historical unfair distribution



Eco-Schemes (25% mandatory)

Farmers volunteer → higher environmental standards

Examples: organic farming, carbon sequestration, agro-ecology

Member States design their own measures

Greenwashing Risk:

Most eco-schemes proposed so far lack ambition

Low requirements = easy to comply, minimal real change

Unlikely to deliver genuine environmental benefits

Source： European Parliament. (2023). *CAP Strategic Plans 2023-2027 – Priorities and Interventions.* Presentation to COMAGRI. https://www.europarl.europa.eu/cmsdata/272928/17.%20CAP_Strategic-Plans_30_EN.pdf

03

Future of CAP 2028 Onwards



source: eurac research

What’s Changing

DABIS - one payment replaces the old system

Source: European Commission, Nov 2025

Degressivity — bigger farms, smaller rate; capped at €100k/farm

Source: European Commission, 2026

New floor–ceiling — €130–240/ha, mandatory for every country

Source: Florence School of Regulation,2026

Pensioners excluded by 2032

Source: Florence School of Regulation

Coupled support raised to 20%

Source: Alan Matthews, 2026

Budget Squeeze

1

€300bn total = €293.7bn shared pot + €6.3bn crisis fund

Source: European Commission, 2025

2

156.2M hectares of EU farmland

Source: Eurostat, 2025

3

Direct payments alone: €20–37.5bn/year → 48–89% of the pot

Source: Own calculation, based on official EU rate range × Eurostat hectare data

4

Eco-schemes lose their protected 25% share

Source: Council of the EU, 2025

The Debates

Mandatory Vs Optional Capping

Source: EU Perspectives (2026)

"Renationalisation" via Single Fund

Source: Copa-Cogeca (2025)

Real cut vs. nominal stability

Source: USDA FAS GAIN Report, 2025

Floor Mechanism

Source: Own analysis, based on Slide 3 calculation

Weaker Environmental Delivery

Source: capreform.eu, Aug 2025

Pensioner Exclusion

Source: Florence School of Regulation (2026)

Current Status & Outlook

- **Ministers remain split**

  As of the April 2026 Agriculture Council, no consensus on capping, the floor/ceiling range, or pensioner exclusion.

- **Commission pushing back**

  Commissioner Hansen: reform is needed. The status quo, or a step backward, would be hard to justify given EU-wide simplification demands.

- **Negotiations continue**

  The proposal is now with the European Parliament and Council — expected to take months. Cap levels, the floor/ceiling range, and pensioner rules could still change before 2028.

Source: EU Perspectives, Apr 2026

04

Are farmers the sole beneficiaries of direct payments?

Land Capitalization and the link to direct payment

"The argument that direct payments are intended as compensation payments has become less and less credible"

- Alan Matthews, 2017

- *Around 90% of direct payments are decoupled.*
- *Around 50% of farmland in EU is rented.*

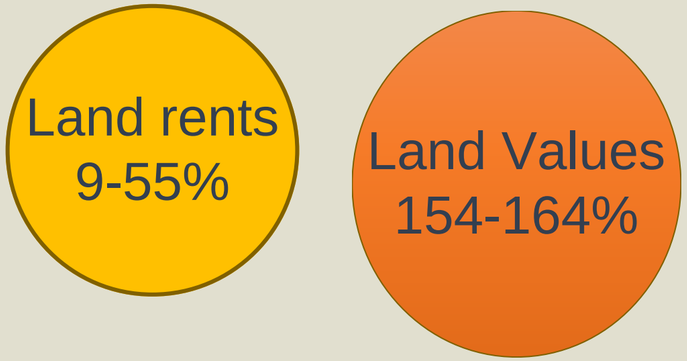
- Heinrich-Böll-Stiftung, 2019

Effect of the 2013 CAP reform



Landowners' share of decoupled direct payment rose from **17%** to **25%** after the reform the opposite of what it intended. (European Commission, 2013)

Decoupled direct payments inflated land prices (1989-2016)



(Ciaian et al., 2023)

Non-farming landowners capitalized rents (in CZ)

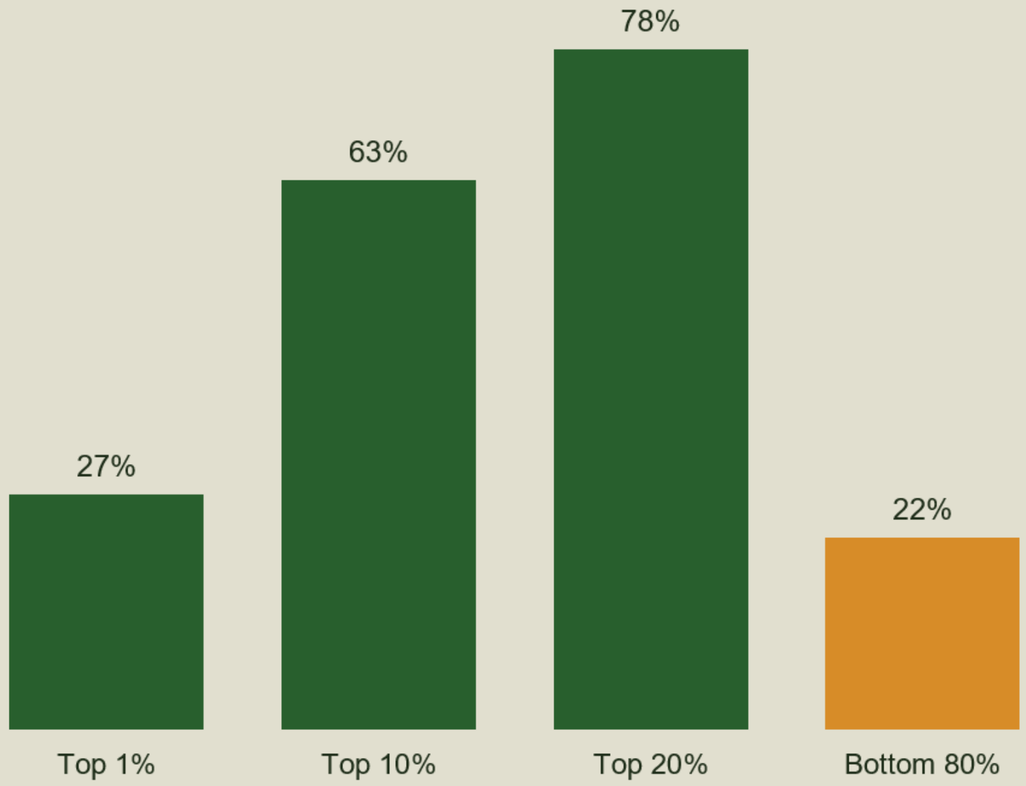


€5.3 billion in 2016, more than triple captured in 2011. (Boranek et al., 2026)

Sources: European commission, 2013; Alan Matthews, capreform.eu (2017); Boranek et al. (2026); Ciaian et al.(2023)

The money is highly concentrated, and auditors confirm it

**CAP direct payments are one of the EU's largest policies, distributed very unevenly ,
a pattern independent research and the EU's own auditors both confirm.**



Average share of direct payments by beneficiary tier, 6 EU countries (CZ,DK,DE,IT,ES,NL) (Greenpeace, 2025)

Roughly **78%** of direct payments go to top **20%** of beneficiaries, paid per hectare with little reduction even for the largest holdings. (ECA, 2020)

Top 1% of beneficiaries get up to 30% of subsidies in some countries (ES, IT) — 40% in the Netherlands. (Greenpeace, 2025)

Sources: Greenpeace EU Unit, "Who Captures the Cash?" (2025); European Court of Auditors, Future of the CAP briefing paper; ARC2020 coverage of ECA findings (2020).

Small farmers stay dependent, mega farms grow steadily

60%+

of farm income comes directly from CAP support in Slovakia, Latvia, Lithuania and the Czech Republic (2011–2015 average), deep dependency, not a stepping stone to independence. (Volkov et al., 2019)

A Lithuanian case study found **farms under 30 ha** often earn below a living-wage threshold even with subsidies. (Volkov et al., 2019)

-44%

Commercial small-scale farms lost across the EU, 2007–2022 (almost **2 million farms**) (Greenpeace, 2025)

+56%

Growth in the number of EU mega-farms over the same period. (Greenpeace, 2025)

Sources: Volkov et al. (2019), Sustainability 11(7):2112 (2019); Greenpeace EU Unit, "Who Captures the Cash?" (2025).

Who is actually collecting the cheques?

GERMANY

Aldi Nord heirs

9000 ha, worth 3-6Mio. €/year. (Greenpeace, 2025)

SPAIN

House of Alba



Eurotécnica Agraria SA, owned by the aristocratic House of Alba family received €194.423/year. (Greenpeace, 2025)

ITALY

Assicurazioni Generali

Genagricola earned 850.000 €/year. (Greenpeace, 2025)

GERMANY

Lürssen Group

~2.000 ha, worth 1 Mio. €/year. (Greenpeace, 2025)

Land Grabbing in Bulgaria



The new legislation created policy to make land owners declare their intention to use their land, if not, it falls into land deal brokers. (TNI, 2013)

Skewed land distribution



3% large agricultural holdings cover 50% of Utilised Agricultural Area in 2013, small farming companies only own 11% UAA. (TNI, 2013)

1–1.5 million € worth Pocket contracts



of Hungarian farmland are estimated to be held by foreign investors capturing national and EU subsidies. (TNI, 2013)

Sources: Greenpeace EU Unit, "Who Captures the Cash?" (2025); Transnational Institute, "The Global Land Grab" & "Land Grabbing and Land Concentration in Europe"; Common Dreams, summary of TNI/La Via Campesina research (2013).

05

If direct payments are a demonstrably inefficient way to support farm incomes,

Why does every reform round keep them?

Research Question 3

Three Theories

1

Concentrated Benefits, Diffuse Costs

Olson (1965)

Small organized groups with high per-member stakes outlobby large diffuse groups who each lose little.

2

Information Asymmetry

Lohmann (2003)

Politicians favor groups that can closely monitor their policy performance.

3

Path dependency & Policy Layering

Daugbjerg & Feindt (2017)

Reforms add new instruments (greening, eco-schemes) around the core transfer rather than replacing it.

Who Blocks The Reforms?

copa cogeca
european farmers
european agri-cooperatives

Source: smurf project, 2025

442
of 943 seats in DG Agri expert groups

Corporate Europe Observatory, 2020

28
of 72 seats on Direct Payments & Greening CDG

Eyes on Europe

€8.5m
lobbying spend 2011–2019

DeSmog, 2022

COMAGRI

European Parliament

Drafts all CAP legislation and is stacked with farm-region MEPs who treat direct payments as non-negotiable.

European Parliament (2025)

AGRIFISH Council

Member State Ministers

Negotiate CAP in parallel with MFF budget, giving them leverage to protect direct payment.

Lovec, M. et al. (2024)

Member States

France
Czech Republic
Poland
Italy
Bulgaria, etc

Agence Europe (2025)

2023–2024 Farmer Protests



The Globe and Mail, 2024

1. Farmers across France, Poland, Germany, Spain took to the streets demanding income security

   Matthews et al. (2023)

2. The EPP repositioned as "farmer-friendly" ahead of the 2024 elections

   Finger et al. (2024)

3. The Commission responded by dropping environmental conditionality

   Lovec, M. (2026)

What the protests did to CAP politics?

Exposed rural discontent and electoral risk

(Lovec, 2024)

Raised the political value of income support

Matthews, A. (2024).

Direct payments are defended not only as farm policy, but as a tool of political stabilization. *(Lovec, 2024)*

The Impact on Post-2028 CAP

~~GAECs~~

Conditionality replaced by voluntary incentives

IEEP (2025)

≥€293.7bn

~~Environmental ring-fencing~~

Ring-Fenced Income Support (EAGF €291.1 billion + EAFRD €95.5 billion)

IEEP (2025)

€6.3 billion

Unity Safety Net

European Commission (2025).

The Answer

Direct payments persist because they buy political stability, not because they solve distribution efficiently.

06

Reforms and Their Efficacy

What does the EU say?

Gijsbertus Schilthuis — Director, DG Agriculture & Rural Development, European Commission

> **Farm incomes remain lower than other sectors.**
> **Support must be better targeted to those who need it most.**

On: Why direct payments persist

> **Some effect is reflected in land prices.**
> **Around half of agricultural land is rented — effects differ across regions.**

On: Capitalisation problem

The EU knows.

Yet payments are still prioritised in every reform.

This is the puzzle.

Source: Schilthuis, G. DG AGRI, European Commission. Brussels Excursion, July 2026. Notes by Sryashee Dutta Roy.

EU Responses

01

Internal Convergence

Equal per-hectare rates across member states

Ciaian et al., 2023

02

Redistributive Payments

Higher top-up for first hectares of each farm

EC, 2022; Pierangeli et al., 2025

03

Capping & Degressivity

Cuts payments above €150k per farm

EC, 2022

04

Eco-Schemes

25% of payments tied to environmental outcomes

EC, 2023

"The objective is to better target support to those who need it most."

Schilthuis, DG AGRI — Brussels Excursion, July 2026 | Primary evidence — Sryashee Dutta Roy

Did it work?

CRITICAL ANALYSIS

0.626 → 0.530

Gini index improved

Pierangeli et al., 2025

8.4 → 5.2

Quintile ratio narrowed

Pierangeli et al., 2025

"Some effect is reflected in land prices... land markets differ." — Schilthuis, Brussels 2026

But the deeper problem persists

⚠ **20–55% still capitalises into land rents**

Ciaian et al., 2023

⚠ **Farm income concentration stayed high**

Pierangeli et al., 2025

⚠ **Payments ≠ income redistribution**

Ciaian et al., 2023

⚠ **Structural land inequality persists**

Runge et al., 2022

Policy Implications

How can the problem actually be solved?

Phase out land-based payments

Link to income, not hectares

Runge et al., 2022; OECD, 2023

Target genuine need

Use income criteria, not land size

Pierangeli et al., 2025; Schilthuis, 2026

Redirect to eco-outcomes

More payments for environmental performance

European Commission, 2023

Regulate land markets

Without this, subsidies keep leaking

Ciaian et al., 2023; Pierangeli et al., 2025

The structure of support must change , not just its size!

CONCLUSIONS

- CAP has undergone several reforms but direct payments always takes the biggest share
- Direct Payments are getting more stronger in upcoming CAP
- Farmers are not the only beneficiaries of direct payments
- Direct payments persist because they buy political stability, not because they solve distribution efficiently.
- structural critique persists across every reform : you can adjust the amount but the mechanisms itself is unchanged.



THANK YOU FOR YOUR ATTENTION!

Questions?

Contribution Table

Contributed By	**Contribution/slides done**
Sryashee Dutta Roy	Introduction, Reforms and Their Efficacy Did extensive research and gathered first hand supporting evidence (page 27). Looked in EU Reforms and its responses to tackle the main argument (page 28-29). Lastly researched and prepared the policy implications (page 30).
Jiaxi Meng	The Evolution of Direct Payments – From Fischler to Today
Pallavi Lokesh	Future of CAP 2028 Onwards
Muhammad Ilham Haeri	Are farmers the sole beneficiaries of direct payments?
Bipin Joshi	Why Are Direct Payments Still Continuing?

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